Scheme and closing the Defined Benefit Scheme to new recruits. The strategic initiative was expected to reduce the workforce by 3,500.

Ratan was deeply concerned about the lay-off of the workforce that the crisis inevitably threatened. He approached the UK government for financial assistance. He contended that the problems arising from ‘scale and magnitude of the global economic downturn’ was way ‘beyond the means of individual companies’ to address alone and requested for support by way of ‘financial aid, subsidies or even protection’. He both spoke to and met UK Prime Minister Gordon Brown. He also met Lord Mervyn Davies, minister of state for trade, investment, small business and infrastructure.

During the meetings, Ratan underscored the need for support from the government to ensure that Corus did not have to lay off workers and could keep its operations going. He wrote to Prime Minister Brown after his second meeting and said: ‘Time is going to be of the essence, as six months have already passed, and the inability of the company to access credit and working capital will unfortunately result in a self-fulfilling prophesy!’

By May 2008, the situation worsened despite Tata Steel’s multiple efforts at cost-cutting and increasing operational efficiency. Teesside Cast Products found itself in a crisis. The plant had become unviable as four international buyers who had ten-year slab supply contracts, which amounted to 78 per cent of the plant’s production for as many years, reneged on their obligations. Under these circumstances, Tata Steel was ‘forced to open consultations’ that could ‘result in a decision to mothball’ the Teesside plant. Worse, it could result in the layoff of 1,920 workers.

As the global crisis worsened, in June, a further 2,045 jobs in both the UK and the Netherlands were identified to be at risk. The company also held consultations on the additional reduction of 500 white-collar jobs in its Long Products Division, consisting of several assets in the UK, two mills in Teesside and a mill in northern France, amongst others. The most affected were the plants at Scunthorpe. Even so, in accordance with the group policies, it stated that all efforts would be made to ensure that the losses were ‘voluntary’.

Despite all the meetings that Ratan had with the British government, no meaningful assistance was forthcoming. The best that was offered was a financial package of £5 million for ‘training and wage support’. It was woefully inadequate in the prevailing circumstances. In a letter to Lord Peter Mandelson, secretary of state for business, Ratan said that the funds